

1 **HOUSE OF REPRESENTATIVES - FLOOR VERSION**

2 STATE OF OKLAHOMA

3 2nd Session of the 60th Legislature (2026)

4 ENGROSSED SENATE
5 BILL NO. 1280

By: Bergstrom of the Senate

and

Kendrix of the House

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10 An Act relating to excise tax; amending 68 O.S. 2021,
11 Sections 1101, 1102, and 1103, which relate to the
12 additional tax on oil and gas; extending sunset of
13 tax rate and apportionment; updating statutory
14 language; providing an effective date; and declaring
15 an emergency.

16 BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

17 SECTION 1. AMENDATORY 68 O.S. 2021, Section 1101, is
18 amended to read as follows:

19 Section 1101. A. Prior to July 1, ~~2026~~ 2031, and as provided
20 in Section 1103.1 of this title, there is hereby levied, in addition
21 to the gross production tax, an excise tax equal to ninety-five one
22 thousandths of one percent (.095 of 1%) of the gross value on each
23 barrel of petroleum oil produced in this state which is subject to
24 gross production tax in this state. Such excise tax of ninety-five

1 one thousandths of one percent (.095 of 1%) of the gross value shall
2 be reported to and collected by the Oklahoma Tax Commission at the
3 same time and in the same manner as is provided by law for the
4 collection of gross production tax on petroleum oil. On petroleum
5 oil sold at the time of production, the excise tax thereon shall be
6 paid by the purchaser, who is hereby authorized to deduct in making
7 settlement with the producer and/or royalty owner the amount of tax
8 so paid; provided, that in the event oil on which such tax becomes
9 due is not sold at the time of production, but is retained by the
10 producer, the tax on such oil not so sold shall be paid by the
11 producer including the tax due on royalty oil not sold; and
12 provided~~7~~ further, that in settlement with the royalty owner, such
13 producer shall have the right to deduct the amount of tax so paid on
14 royalty oil, or to deduct therefrom royalty oil equivalent in value
15 at the time such tax becomes due with the amount of tax paid.

16 The provisions of this subsection shall terminate on June 30,
17 ~~2026~~ 2031.

18 B. Beginning on July 1, ~~2026~~ 2031, there is hereby levied, in
19 addition to the gross production tax, an excise tax equal to eighty-
20 five one thousandths of one percent (.085 of 1%) of the gross value
21 on each barrel of petroleum oil produced in this state which is
22 subject to gross production tax in this state. Such excise tax of
23 eighty-five one thousandths of one percent (.085 of 1%) of the gross
24 value shall be reported to and collected by the Tax Commission at

1 the same time and in the same manner as is provided by law for the
2 collection of gross production tax on petroleum oil. On petroleum
3 oil sold at the time of production, the excise tax thereon shall be
4 paid by the purchaser, who is hereby authorized to deduct in making
5 settlement with the producer and/or royalty owner the amount of tax
6 so paid; provided, that in the event oil on which such tax becomes
7 due is not sold at the time of production, but is retained by the
8 producer, the tax on such oil not so sold shall be paid by the
9 producer including the tax due on royalty oil not sold; and
10 provided, further, that in settlement with the royalty owner, such
11 producer shall have the right to deduct the amount of tax so paid on
12 royalty oil, or to deduct therefrom royalty oil equivalent in value
13 at the time such tax becomes due with the amount of tax paid.

14 SECTION 2. AMENDATORY 68 O.S. 2021, Section 1102, is
15 amended to read as follows:

16 Section 1102. A. Prior to July 1, ~~2026~~ 2031, and as provided
17 in Section 1103.1 of this title, there is hereby levied, in addition
18 to the gross production tax, an excise tax equal to ninety-five one
19 thousandths of one percent (.095 of 1%) of the gross value of all
20 natural gas and/or casinghead gas produced in this state which is
21 subject to gross production tax in this state. Such excise tax of
22 ninety-five one thousandths of one percent (.095 of 1%) of the gross
23 value shall be reported to and collected by the Oklahoma Tax
24 Commission at the same time and in the same manner as is provided by

1 law for the collection of gross production tax on natural gas and/or
2 casinghead gas, and this excise tax shall apply in all cases where
3 the gross production tax provided for by law applies to the
4 production of natural gas and/or casinghead gas. The excise tax
5 shall be paid by the purchaser, who is hereby authorized to deduct
6 in making settlement with the producer and/or royalty owner the
7 amount of tax so paid; provided, however, that if such natural gas
8 and/or casinghead gas is retained by the producer, then the tax
9 shall be paid by the producer, who shall have the right to deduct
10 the amount of tax so paid on royalty gas at the time of settlement
11 with the royalty owner.

12 The provisions of this subsection shall terminate on June 30,
13 ~~2026~~ 2031.

14 B. Beginning on July 1, ~~2026~~ 2031, there is hereby levied, in
15 addition to the gross production tax, an excise tax equal to eighty-
16 five one thousandths of one percent (.085 of 1%) of the gross value
17 of all natural gas and/or casinghead gas produced in this state
18 which is subject to gross production tax in this state. Such excise
19 tax of eighty-five one thousandths of one percent (.085 of 1%) of
20 the gross value shall be reported to and collected by the Tax
21 Commission at the same time and in the same manner as is provided by
22 law for the collection of gross production tax on natural gas and/or
23 casinghead gas, and this excise tax shall apply in all cases where
24 the gross production tax provided for by law applies to the

1 production of natural gas and/or casinghead gas. The excise tax
2 shall be paid by the purchaser, who is hereby authorized to deduct
3 in making settlement with the producer and/or royalty owner the
4 amount of tax so paid; provided, however, that if such natural gas
5 and/or casinghead gas is retained by the producer, then the tax
6 shall be paid by the producer, who shall have the right to deduct
7 the amount of tax so paid on royalty gas at the time of settlement
8 with the royalty owner.

9 SECTION 3. AMENDATORY 68 O.S. 2021, Section 1103, is
10 amended to read as follows:

11 Section 1103. A. 1. Prior to July 1, ~~2026~~ 2031, and as
12 provided in Section 1103.1 of this title, all monies derived from
13 the levy of the excise tax on petroleum oil provided for by Section
14 1101 of this title shall be deposited with the State Treasurer, who
15 shall credit and apportion the same as follows:

- 16 a. eighty-two and six hundred thirty-four thousandths
17 percent (82.634%) of ~~said~~ the excise tax shall be
18 credited to the General Revenue Fund of the State
19 Treasury; provided, in each fiscal year beginning on
20 or after July 1, 2013, the first One Million Three
21 Hundred Fifty Thousand Dollars (\$1,350,000.00) which
22 would otherwise have been apportioned to the General
23 Revenue Fund pursuant to this subparagraph shall be
24

1 transferred to the Oil and Gas Division Revolving Fund
2 of the ~~Oklahoma~~ Corporation Commission,

3 b. ten and five hundred twenty-six thousandths percent
4 (10.526%) shall be credited and apportioned to a
5 separate and distinct fund to be known as the
6 "Corporation Commission Plugging Fund", and

7 c. the remaining six and eighty-four hundredths percent
8 (6.84%) of ~~said~~ the excise tax shall be credited and
9 apportioned to a separate and distinct fund to be
10 known as "The Interstate Oil Compact Fund of
11 Oklahoma", which fund is hereby created.

12 2. Prior to July 1, ~~2026~~ 2031, and as provided in Section
13 1103.1 of this title, all monies derived from the levy of the excise
14 tax on natural gas and/or casinghead gas provided for by Section
15 1102 of this title shall be deposited with the State Treasurer, who
16 shall credit and apportion the same as follows:

17 a. eighty-two and six thousand forty-five ten thousandths
18 percent (82.6045%) of ~~said~~ the excise tax shall be
19 credited to the General Revenue Fund of the State
20 Treasury; provided, in each fiscal year beginning on
21 or after July 1, 2013, the first One Million Three
22 Hundred Fifty Thousand Dollars (\$1,350,000.00) which
23 would otherwise have been apportioned to the General
24 Revenue Fund pursuant to this subparagraph shall be

1 transferred to the Oil and Gas Division Revolving Fund
2 of the ~~Oklahoma~~ Corporation Commission,

3 b. ten and five thousand five hundred fifty-five ten
4 thousandths percent (10.5555%) shall be credited and
5 apportioned to the Corporation Commission Plugging
6 Fund, and

7 c. six and eighty-four hundredths percent (6.84%) of ~~said~~
8 the excise tax shall be credited and apportioned to
9 The Interstate Oil Compact Fund of Oklahoma.

10 3. Prior to July 1, ~~2026~~ 2031, and as provided in Section
11 1103.1 of this title, all monies to accrue to The Interstate Oil
12 Compact Fund of Oklahoma under the provisions of this article,
13 together with all monies remaining unexpended in The Interstate Oil
14 Compact Fund of Oklahoma created under this subsection, are hereby
15 appropriated and shall be used for the payment of the compensation
16 of the assistant representative of the State of Oklahoma on The
17 Interstate Oil Compact Commission, the compensation of such
18 clerical, technical and legal assistants as he or she may with the
19 consent of the Governor employ; the actual and necessary traveling
20 expenses of the assistant representative and employees, and of the
21 Governor when traveling in the Governor's capacity as official
22 representative of the State of Oklahoma on The Interstate Oil
23 Compact Commission; all items of office expense including the cost
24 of office supplies and equipment; such contributions as the Governor

1 shall deem necessary and proper to pay to The Interstate Oil Compact
2 Commission to defray its expenses; and such other necessary expenses
3 as may be incurred in enabling the State of Oklahoma to fully
4 cooperate in accomplishing the objects of the Interstate Compact to
5 conserve oil and gas. The fund shall be disbursed by the State
6 Treasurer upon sworn, itemized claims approved by the assistant
7 representative and the Governor; provided, that if at the end of any
8 fiscal year any part of the special fund shall remain unexpended,
9 such balance shall be transferred by the State Treasurer to, and
10 become a part of, the General Revenue Fund of the state for the
11 ensuing fiscal year. Provided⁷, further, that if the State of
12 Oklahoma withdraws from the Interstate Compact to conserve oil and
13 gas, any unencumbered monies in The Interstate Oil Compact Fund of
14 Oklahoma shall be transferred to and become a part of the General
15 Revenue Fund of the State Treasury and thereafter the excise tax on
16 petroleum oil, natural gas and/or casinghead gas levied by this
17 article shall be levied, collected and deposited in the General
18 Revenue Fund of the State Treasury.

19 4. All monies to accrue to the Corporation Commission Plugging
20 Fund are hereby appropriated and shall be used for payment of
21 expenses related to the statutory purpose of the fund.

22 The provisions of this subsection shall terminate on June 30,
23 ~~2026~~ 2031.

1 B. 1. Beginning on July 1, ~~2026~~ 2031, all monies derived from
2 the levy of the excise tax on petroleum oil provided for by Section
3 1101 of this title shall be deposited with the State Treasurer, who
4 shall credit and apportion the same as follows:

- 5 a. ninety-two and thirty-five hundredths percent (92.35%)
6 of ~~said~~ the excise tax shall be credited and
7 apportioned to the General Revenue Fund of the State
8 Treasury; provided, in each fiscal year beginning on
9 or after July 1, 2013, the first One Million Three
10 Hundred Fifty Thousand Dollars (\$1,350,000.00) which
11 would otherwise have been apportioned to the General
12 Revenue Fund pursuant to this subparagraph shall be
13 transferred to the Oil and Gas Division Revolving Fund
14 of the ~~Oklahoma~~ Corporation Commission, and
15 b. the remaining seven and sixty-five hundredths percent
16 (7.65%) of ~~said~~ the excise tax shall be credited and
17 apportioned to a separate and distinct fund to be
18 known as "The Interstate Oil Compact Fund of
19 Oklahoma", which fund is hereby created.

20 2. Beginning on July 1, ~~2026~~ 2031, all monies derived from the
21 levy of the excise tax on natural gas and/or casinghead gas provided
22 for by Section 1102 of this title shall be deposited with the State
23 Treasurer, who shall credit and apportion the same as follows:
24

- 1 a. ninety-two and thirty-five hundredths percent (92.35%)
2 of ~~said~~ the excise tax shall be credited and
3 apportioned to the General Revenue Fund of the State
4 Treasury; provided, in each fiscal year beginning on
5 or after July 1, 2013, the first One Million Three
6 Hundred Fifty Thousand Dollars (\$1,350,000.00) which
7 would otherwise have been apportioned to the General
8 Revenue Fund pursuant to this subparagraph shall be
9 transferred to the Oil and Gas Division Revolving Fund
10 of the ~~Oklahoma~~ Corporation Commission, and
11 b. seven and sixty-five hundredths percent (7.65%) of
12 ~~said~~ the excise tax shall be credited and apportioned
13 to The Interstate Oil Compact Fund of Oklahoma.

14 3. Beginning on July 1, ~~2026~~ 2031, all monies to accrue to The
15 Interstate Oil Compact Fund of Oklahoma under the provisions of this
16 article, together with all monies remaining unexpended in The
17 Interstate Oil Compact Fund of Oklahoma created under this
18 subsection, are hereby appropriated and shall be used for the
19 payment of the compensation of the assistant representative of the
20 State of Oklahoma on The Interstate Oil Compact Commission, the
21 compensation of such clerical, technical and legal assistants as he
22 or she may with the consent of the Governor employ; the actual and
23 necessary traveling expenses of the assistant representative and
24 employees, and of the Governor when traveling in the Governor's

1 capacity as official representative of the State of Oklahoma on The
2 Interstate Oil Compact Commission; all items of office expense
3 including the cost of office supplies and equipment; such
4 contributions as the Governor shall deem necessary and proper to pay
5 to The Interstate Oil Compact Commission to defray its expenses; and
6 such other necessary expenses as may be incurred in enabling the
7 State of Oklahoma to fully cooperate in accomplishing the objects of
8 the Interstate Compact to conserve oil and gas. The fund shall be
9 disbursed by the State Treasurer upon sworn, itemized claims
10 approved by the assistant representative and the Governor; provided,
11 that if at the end of any fiscal year any part of the special fund
12 shall remain unexpended, such balance shall be transferred by the
13 State Treasurer to, and become a part of, the General Revenue Fund
14 of the State Treasury for the ensuing fiscal year. Provided,
15 further, that if the State of Oklahoma withdraws from the Interstate
16 Compact to conserve oil and gas, any unencumbered monies in The
17 Interstate Oil Compact Fund of Oklahoma shall be transferred to and
18 become a part of the General Revenue Fund of the State Treasury and
19 thereafter the excise tax on petroleum oil, natural gas and/or
20 casinghead gas levied by this article shall be levied, collected and
21 deposited in the General Revenue Fund of the State Treasury.

22 SECTION 4. This act shall become effective July 1, 2026.

23 SECTION 5. It being immediately necessary for the preservation
24 of the public peace, health or safety, an emergency is hereby

1 declared to exist, by reason whereof this act shall take effect and
2 be in full force from and after its passage and approval.
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4 COMMITTEE REPORT BY: COMMITTEE ON ADMINISTRATIVE RULES, dated
5 04/08/2026 - DO PASS.
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